

motion. But this little episode shows that he wasn't a smart investor because he let his emotions get the best of him and was swayed by the irrationality of the crowd.

Successful equity investing largely hinges around answering two simple questions: *Which stocks should I buy?* and *For how long should I hold the stocks I bought?* These questions are simple but not easy to answer.

In a typical social gathering in Mumbai, the most common topic of discussion is: *Which stocks should one look to buy or sell?* The people answering this question usually make the following statements: *I had bought XYZ stock twelve months ago and it has almost doubled since then*, or, *You should buy XYZ stock today since it is likely to do well over the next six months*.

Such discussions on investing, however, helped neither Mr Talwar nor Mr Sanghvi nor Sir Isaac Newton when it came to figuring out answers to questions regarding which stocks to buy and for how long to hold these.

For the vast majority of equity investors in India, investment becomes a complicated affair, not only because they are surrounded by sub-standard advisers, but also because they imbibe (or are fed) incorrect investment theories—the most common one being that *to make higher returns from the stock markets, one must take higher risks*. Such misconceptions in the minds of investors blur the demarcation between 'punting' and 'investing' as investors respond to ephemeral events which corrode their capital and enhance the wealth of intermediaries.

Punters (who incorrectly think and call themselves investors) buy shares in a company because a friend of a friend says that they have heard the stock price could go up. Or they trade in small-cap stocks, cyclical stocks or beaten down stocks without really knowing what the company does, how honest and capable the promoter is and what the risks associated with the investment are. These punters not only have no advantage over other investors in the market, they actually have less information compared to professional fund managers. Hence, in all likelihood, they end up losing more money than they make in the long run. Sir Isaac Newton, Mr Talwar and Mr Sanghvi are all punters